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Inquiry into the 2025 federal election

Joint Standing Committee on Electoral Matters

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Contents

Summary of recommendations 3

1. Scope of this inquiry and submission 4

2. The electoral disadvantages identified in 2022 remained in 2025 5

3. The new Act lacked appropriate scrutiny 6

4. The Act will increase electoral disadvantages in 2028 7

Expenditure caps advantage incumbents and parties over new challengers and independents 7

Incumbents have the advantage of long-term fund raising 7

Incumbents have the advantage of public funded resources 8

Party candidates have the advantage of unlimited spending on party campaigns 8

New administrative funding provisions advantage incumbents and parties over new challengers and independents 9

The nominated entity exemption advantages parties 9

5. The Act did not address other electoral disadvantages 10

Different tax treatment for independent candidates 10

No access to the electoral roll for independents 10

Data harvesting through postal vote application process 11

Political party exemptions from the Privacy Act 1988 (Cth) and Spam Act 2003 (Cth) 11

APPENDIX A: POLITICAL PARTY ADVANTAGES 12

APPENDIX B: INCUMBENCY ADVANTAGES 15

Summary of recommendations

Recommendation 1: The future operation and impact of the *Electoral Legislation Amendment (Electoral Reform) Act 2025* ('the Act') be subject to an independent review

Recommendation 2: Make donation and expenditure caps apply per term rather than per calendar year.

Recommendation 3: Tighten the rules about how the communications budget can be used, to ensure public funds are not used to fund campaigns.

Recommendation 4: Review the expenditure cap model informed by the principle of creating a level playing field for new entrants.

Recommendation 5: Increase the expenditure caps for independents.

Recommendation 6: Follow the South Australia model that has an "operational funding cap" for parties and limit the administrative funding per party to an agreed amount.

Recommendation 7: Remove the nominated entity exemption.

Recommendation 8: Enable an independent candidate to register an Independent Candidate Entity, to be treated the same way as a political party.

Recommendation 9: Allow tax deductibility for donations to all candidates from when they publicly announce their candidacy.

Recommendation 10: Develop an electoral roll access framework for independent candidates.

Recommendation 11: Pass the *Commonwealth Electoral Amendment (Protecting Voters) Bill 2025* to retain the integrity of the postal vote process

Recommendation 12: Amend the Privacy Act 1988 (Cth) to remove the exemption for registered political parties.

Recommendation 13: amend the Spam Act 2003 (Cth) to remove the exemption from the Spam Act of registered political parties to send unsolicited electronic messages.

1. Scope of this inquiry and submission

I welcome the opportunity to make a submission to the Joint Standing Committee on Electoral Matters (JSCEM) about the *Inquiry into the 2025 federal election*. As a former member of JSCEM, I know the importance of these inquiries, and I thank the Committee members for their efforts.

The terms of reference ask the Committee to consider the conduct of the 2025 election, including measures such as: incidents of aggressive conduct; potential reform of safety and security arrangements; suitability of measures to ensure universal voter access; and suitability of the current authorisation framework.

The Special Minister of State has requested that the Committee also "consider the interaction with" additional terms, including:

- *The implementation and operation of the electoral reform passed by the 47th Parliament, particularly regarding the use of money or capital in the most recent elections.*

I am concerned about this term. There is a fundamental problem with asking a committee, when reviewing the previous election, to consider its interaction with the implementation and operation of laws that did not apply at that election.

The focus of this inquiry is the 2025 election. This inquiry does not constitute a review into how new laws will operate and impact different political players in the future. I am concerned that this *Inquiry into the 2025 federal election* will be a tick-box exercise, used by this Government to say it has conducted an inquiry into the *Electoral Legislation Amendment (Electoral Reform) Act 2025* **('the Act'**) passed in 2025 and due to come into force in July 2026.

Given the scale and scope of the Act and the haste with which it was passed through the Parliament, its future impact should be subject to a focused review, rather than being attached to a past-facing review of the 2025 election. Given that concerns with the Act relate to the way it favours the major political parties, it is not appropriate for such a review to be conducted by the major parties.

My ongoing concerns about the electoral disadvantages for independents- which I refer to as the "uneven playing field"- were raised in the evidence presented to JSCEM's *Review of the 2022 election*, identified in my Additional Comments to that inquiry, continued to exist at the 2025 election and are either not addressed or exacerbated by Act.

This submission provides further information in relation to four key issues:

- The electoral disadvantages identified in 2022 remained in 2025.
- The new Act lacked appropriate scrutiny.
- The Act will increase electoral disadvantage in 2028.
- The Act did not address other electoral disadvantages.

Appendices A and B list the party and incumbency advantages identified in the previous review, and outline whether they have been addressed in the Act and if so, how the Act further entrenches these advantages.

2. The electoral disadvantages identified in 2022 remained in 2025

Incumbent parliamentarians rarely lose their seats to challengers. Over the last four federal elections, an average of 90.2% of incumbent Members of Parliament have retained their seats.

Of the 518 incumbents who contested their seats, 51 were unseated, and just 14 lost to challengers who were independent candidates or from minor parties. This is partly because incumbency comes with significant financial advantages.

When I sat on JSCEM in 2022, and after hearing months of expert evidence, I provided additional comments that noted the huge advantage of running as a party candidate rather than an independent candidate.

None of these advantages were addressed or rectified in 2025. In fact, in 2025:

- All party candidates benefited from public awareness reinforced by national party advertising and had the advantage of a national party brand.
- Party candidates enjoyed tax deductibility of donations at any time and exemptions from data protection and spamming laws.
- Party candidates had the advantage of having party-endorsed Senators use their communications and office budgets in non-election cycles to support the re-election of House of Representative party colleagues.
- And parties were able to shift and redistribute funding and resources across the country to be used where needed, in battleground seats. Much of this funding came from associated entities generating funding for the major parties through assets and investments.

Independent candidates enjoyed none of these advantages.

In 2025 the identified incumbency advantages continued to make it harder for new entrants. As an incumbent I had access to the electoral roll, use of an office and staff and a communications budget. New entrants had none of these advantages.

3. The new Act lacked appropriate scrutiny

While I support efforts to improve transparency and integrity in our electoral system, I hold serious concerns about the broader implications of the Act. The Act is likely to entrench the dominance of major parties, undermine political competition, and further disadvantage independent candidates and new entrants to the political landscape.

I also have serious concerns about the rushed legislative process. The Act was introduced and passed through the House of Representatives within days of its release, leaving little time for scrutiny or public consultation. This haste is inconsistent with the gravity of the proposed reforms.

In the Minister's Second Reading Speech, the Member for Perth said the *Electoral Legislation Amendment (Electoral Reform) Bill 2024* "…proposes the largest reform to Australia's electoral laws in over 40 years".

But despite the magnitude and gravity of this reform, the draft Bill was shared with Members of Parliament three days before it was debated in Parliament.

The Bill was 224 pages long. The Special Minister for State had previously stated that the reason for the delay in introducing the legislation was that the drafting was extremely complicated. The Bill has significant and complicated consequences for campaign finance, electoral expenditure, and ease of participation in elections.

Parliamentarians did not have enough time or resources to read, understand and debate the Bill, let alone propose constructive amendments.

The Bill was debated and passed through the House in two days.

Despite community, academic, think-tank and crossbench outcry, the Bill was not referred to committee or an independent review for scrutiny. The Special Minister of State said the laws needed to be rushed through, despite their implementation date of July 2026.

There may have been impetus to have truth in political advertising laws passed before the 2025 campaigns and elections, but these areas of reform were separately addressed into a secondary piece of legislation that was not debated or passed.

Now, instead of any form of public scrutiny into how the laws might impact future elections, the opportunity to comment on the implementation and operation of the laws has been shoe-horned into an inquiry into the conduct of the 2025 election.

Recommendation 1: The future operation and impact of the *Electoral Legislation Amendment (Electoral Reform) Act 2025* ('the Act') be subject to an independent review

4. The Act will increase electoral disadvantages in 2028

While presented as 'electoral reform', the Act is likely to further entrench the parties and make it harder for new entrants and independents to compete.

Expenditure caps advantage incumbents and parties over new challengers and independents

In my additional comments to the JSCEM 2022 interim report, I made clear that spending caps can only be implemented fairly if party advantages can be addressed appropriately. It seems highly likely that the new framework under the Act risks locking out new challengers and entrenching the advantages of incumbency and party affiliation. It also seems likely that this is actually the intent of the Act.

Incumbents have the advantage of long-term fund raising

Incumbent members of parliament can raise funds continuously over their three-year term, up to $800,000 annually, amounting to $2.4 million before an election. Independent candidates, by contrast, typically begin fundraising only after they formally nominate, leaving them with a significantly shorter window to build campaign resources. This disparity in timing and access to funding places new independent challengers at a clear disadvantage.

Recommendation 2: Make donation and expenditure caps apply per term rather than per calendar year.

Incumbents have the advantage of public funded resources

In addition to fundraising, incumbents benefit from publicly funded resources including a communications budget, electorate office infrastructure, and staff support. These taxpayer-funded tools enhance visibility and engagement with constituents throughout the term.

New independent challengers must self-fund all campaign-related activities (like staffing, communications and office rent) without any publicly funded resources.

Recommendation 3: Tighten the rules about how the communications budget can be used, to ensure public funds are not used to fund campaigns.

Party candidates have the advantage of unlimited spending on party campaigns

While individual candidates are subject to a spending cap of $800,000, political parties are permitted to spend as much of their $90 million cap as the choose, in any area on campaign activities that do not explicitly reference a candidate or electoral division. This loophole allows parties to invest millions in brand promotion and broad messaging that indirectly supports their candidates, effectively circumventing the intent of expenditure limits. Independents, who do not benefit from party infrastructure, are unable to leverage such indirect support, further entrenching the imbalance.

As articulated by the Australian Institute in its analysis of the electoral reform law, a party can therefore spend in excess of the seat cap by:

- Circulating material that mentions House of Representatives and Senate candidates at the same time. Half of the spending could be attributed to the Senate candidate instead of the seat cap. In practice this would allow a party to spend $1.6 million promoting a candidate in a particular seat, provided it promoted a Senate candidate at the same time.
- Purchasing any amount of party advertising that doesn't mention the candidate or seat, even if it is targeted at that seat.
- Promoting its ministers and shadow ministers across a region or the whole state/territory, and therefore not needing to count that promotion towards the seat cap in the seat in which the minister is running.[1]

[1] Electoral-Reform-Bill-analysis-Web.pdf

This means a party could outspend an independent many times over in a target electorate.

Recommendation 4: Review the expenditure cap model informed by the principle of creating a level playing field for new entrants.

Recommendation 5: Increase the expenditure caps for independents.

New administrative funding provisions advantage incumbents and parties over new challengers and independents

The Act provides quarterly administrative assistance funding for political parties with MPs and senators and for independent members of the House of Representatives and Senators. This is payable at rate of $7,500 per quarter for a member of the House of Representatives ($90,000 per election cycle) and $3,750 per quarter for a senator ($45,000 per election cycle) (indexed annually). This adds up to $17 million in new administrative funding per election cycle.

There has been no justification for this huge increase in public funding, other than that it will be necessary to ensure compliance with the new laws.

The administrative funding advantages parties, because there has been no consideration of efficiencies of scale. While party administrative costs are generally fixed, this funding model assumes that each MP is operating independently.

Administrative funding also advantages incumbents, because new entrants do not receive any funding. New entrants are required to self-fund their compliance costs with donations while their competitors have banked $90,000 during the term, ostensibly for this purpose.

The South Australian model recognizes economies of scale, by limiting administrative funding for parties at an agreed amount.

Recommendation 6: Follow the South Australia model that has an "operational funding cap" for parties and limit the administrative funding per party to an agreed amount.

The nominated entity exemption advantages parties

The Act includes a donation cap exemption for nominated entities. These entities must be "closely associated with" a party but not "part" of the party, and they must operate "wholly, or to a significant extent, for the benefit of the party" (s. 287MB).

In practice, this means that parties that already have a well-resourced nominated entity (ie the Cormac Foundation) can continue to shift the income or corpus of the fund to any campaign, without complying with the donation cap.

Independents are not permitted to have a nominated entity.

Any new party that might be established would have to create a new nominated entity which, unless it is established and resourced before the Act comes into effect in July 2026, will be subject to donation caps.

Recommendation 7: Remove the nominated entity exemption.

5. The Act did not address other electoral disadvantages

The Act does not address a number of uneven playing field issues identified in my Additional Comments in the 2022 review. These include the following.

Different tax treatment for independent candidates

Currently, according to a tax ruling, donations to an independent candidate are taxed at the candidate's marginal income tax rate, as personal income.

To avoid this financial disadvantage, the Act should be amended to include provisions to establish an Independent Campaign Entity for each candidate which is not considered personal income for tax purposes.

A second issue is that donations of up to $1500 per year to parties and incumbents are tax deductible, whereas donations to independent candidates do not become tax deductible until the candidate's nomination is listed by the Electoral Commissioner weeks before the polls open. This is another financial disadvantage for new challengers which could be rectified by allowing tax deductibility from when the candidate publicly announces their candidacy.

Recommendation 8: Enable an independent candidate to register an Independent Candidate Entity, to be treated the same way as a political party.

Recommendation 9: Allow tax deductibility for donations to all candidates from when they publicly announce their candidacy.

No access to the electoral roll for independents

Parties have (electronic) access to the electoral roll throughout the electoral cycle while an independent candidate obtains access to a physical roll a few weeks before the election. The physical roll is of little practical use.

This limits the ability of the independent candidate to reach voters in the electorate.

Recommendation 10: Develop an electoral roll access framework for independent candidates.

Data harvesting through postal vote application process

In November 2025 I introduced a Private Members Bill to ensure candidates could no longer use the postal vote application process to harvest data from unsuspecting voters.

It is common practice for the major parties to send unsolicited mail to households, with a postal vote application form and a reply-paid envelope to a party "processing centre" rather than the AEC. At the processing centre, personal data is recorded before the application is forwarded to the AEC. This practice undermines the integrity of the postal vote process and erodes trust in the AEC.

In the 2025 campaign, I used traditional and social media used to call out this practice and to warn voters that their postal vote applications could be part of a data harvesting process. My constituents were outraged. As a result, in the last election Curtin voters applied for 37% fewer postal votes than in 2022. In comparable electorates like Goldstein and Kooyong, postal vote applications increased.

This shows that voters change their behaviour when they are made aware of the data harvesting loophole, and it should be addressed.

Recommendation 11: Pass the *Commonwealth Electoral Amendment (Protecting Voters) Bill 2025* to retain the integrity of the postal vote process

Political party exemptions from the Privacy Act 1988 (Cth) and Spam Act 2003 (Cth)

Currently there is an exemption to the Privacy Act 1988 for political parties when they are "collecting, using, or disclosing personal information for political purposes, such as campaigning, voter engagement, or policy development".

There is also an exemption for political parties in the Spam Act 2003 which generally prohibits the sending of unsolicited commercial electronic messages without consent. This means political parties can send unsolicited emails and SMS messages. These exemptions are of great concern to voters, who are not comfortable with political parties being permitted to use their personal data without the usual protections.

Recommendation 12: Amend the Privacy Act 1988 (Cth) to remove the exemption for registered political parties.

Recommendation 13: amend the Spam Act 2003 (Cth) to remove the exemption from the Spam Act of registered political parties to send unsolicited electronic messages.

APPENDIX A: POLITICAL PARTY ADVANTAGES

Party Advantage	Addressed in the Act?	Exacerbated by the Act?
Awareness/brand reinforced by national advertising.	No	Yes The donation caps only apply to candidates, not to party campaigns. “Related” donors have their donations aggregated, as do “related” recipients – which means a state branch of a political party and the candidates endorsed by that party in that state. (s.302BA(4)) However, different “registered parties” are not related. So a donor could give $20,000 to the Queensland Greens, $20,000 to the Victorian Greens, and $20,000 to a Greens candidate in Perth, without exceeding the cap.
Public funding reimbursement model acts as a resource guarantee and enables the rollover of funding from election to election.	No	Yes The bill increases per-vote election funding from $3.38 in 2024 to $5 per vote and introduces a new form of public funding called “administrative funding” of $30,000 per parliamentarian per year. This bears no relation to actual additional administrative costs.
Existing infrastructure such as office space and equipment.	No	No
In any spending cap, the ability to shift costs from unwinnable/unlosable seats to battleground seats.	No	Yes. Increased public funding enables more money to be transferred to battleground

		seats. The open $90 million expenditure cap for parties means parties can focus generic party advertising in contested seats, significantly outspending challengers.
Donor access to ministers/shadow ministers.	No	No change
Tax deductibility of donations at any time.	No	No change
Exemptions from data protection and spamming laws.	No	No change
Party endorsed Senators using their communications/office budget in non-election cycles to support the re-election of their House of Representative party colleagues.	No	Yes Increased public funding which can be used between Senate and House of Reps campaigns. In addition, Senate campaign caps are six times higher for parties than for independents in the states and double in the territories given the party is contesting more seats.
Assets built over time in associated entities formed specifically to support the party.	No	Yes Existing associated entities are protected and exempted from donation caps. Any new party that sets up an associated entity will be subject to donation caps. Independent candidates cannot establish an associated entity.

When in government, the use of pre-election government advertising.	No	No change
When in government, control over the election date with the opportunity to book advertising space and use funding more strategically.	No	No change
When in government, the opportunity to 'pork barrel' strategic seats by funding projects in those electorates.	No	No change
Public funding reimbursement to parties is not liable to tax, whereas this reimbursement to independents may be taxable.	No	No change

APPENDIX B: INCUMBENCY ADVANTAGES

Party advantage	Addressed in the Act?	Exacerbated by the Act?
Access to the electoral roll.	No	No change
The use of resources for a parliamentarian to perform their role, including the parliamentarian's salary, office, use of communications/office budget, printing and travel allowances, and electorate and personal staff. Subject to certain limitations, these resources may be used during an election campaign whilst also providing financial security and mobility	No	Yes Increased public funding means incumbents have more funding compared to new entrants. New entrants may need to use donated funds to cover equivalent costs, increasing the need for fundraising and effectively lowering their ability to spend on other campaign expenses within the expenditure cap.
Public funding reimbursement model potentially enables the rollover of funding from election to election.	No	No change
Tax deductibility of donations at any time.	No	No change
Intervening in the postal vote process and data harvesting from requiring postal voting	No	No change

applications to be sent to the incumbent.		